

The net trade cycle is:

		<i>Days</i>
Debtor turnover	$\frac{0.5 \times (24+44)}{280} \times 365 =$	44
Stock turnover	$\frac{0.5 \times (36+48)}{224} \times 365 =$	68
<i>Less:</i>		
Creditor turnover	$\frac{0.5 \times (16+32)}{224} \times 365 =$	(39)
Net trade cycle (days)	=	<u>73</u>

Investors should apart from checking whether there is an improvement in the cycle, check the individual components. An increase in creditors turnover could also suggest that the company has difficulty in making payments. A fall in debtors could suggest a fall in credit sales or improved debt collection. The reason must be looked into.